

26VECV02813 26VECV02813

County: los-angeles

Division: Civil Law and Motion

Department: NWI

Hearing date: 2026-09-15

Motion: DEMURRER WITH MOTION TO STRIKE THE FIRST AMENDED COMPLAINT

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Case Number: 26VECV02813 Hearing Date: September 15, 2026 Dept: NWI

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

COUNTY

OF LOS ANGELES

MARIE SAINT

CLAIR, an individual.,

Plaintiff,

vs.

SELECT PORTFOLIO SERVICING, INC., et al.

Defendants.

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CASE

NO: 26VECV02813

[TENTATIVE]

ORDER RE: DEMURRER WITH MOTION TO STRIKE THE FIRST AMENDED COMPLAINT

Dept.

I

HEARING

DATE: September 15, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: May 12, 2026

TRIAL

DATE: None set

BACKGROUND

This is a breach of contract action arising out of the written Disaster Deferral Agreement between Plaintiff Marie Saint Clair (“Plaintiff”) and Defendant Select Portfolio Servicing, Inc. (“SPS”). On May 12, 2026, Plaintiff filed a Complaint against SPS, Experian Information Solutions, Inc. (“Experian”); Barclays Mortgage Loan Trust 2023-NQMI, by and through its Trustee, U.S. Bank National Association (“Barclays”); and DOES 1 through 100 (collectively, “Defendants”), asserting causes of action for: (1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Fraud/Intentional Misrepresentation; (4) Violation of the Fair Credit Reporting Act (“FCRA”), 15 U.S.C. § 1681i, 1681s-2(b); (5) Violation of the California Consumer Credit Reporting Agencies Act (“CCRAA”, Cal. Civ. Code §§ 1785.1 et seq.); (6) Defamation of Credit; and (7) Negligence.

On June 15, 2026, Plaintiff filed the operative First Amended Complaint (“FAC”) against Defendants, asserting causes of action for: (1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Fraud/Intentional Misrepresentation; (4) Defamation of Credit; (5) Violation of the California Consumer Credit Reporting Agencies Act (“CCRAA”, Cal. Civ. Code §§ 1785.1 et seq.); and (6) Negligence. On August 7, 2026, Experian filed its Answer to the FAC.

On July 15, 2026, SPS and Barclays (hereinafter, “Lenders”) filed the instant Demurrer with Motion to Strike the FAC. On August 31, 2026, Plaintiff filed an Opposition. On September 8, 2026, Lenders filed a Reply.

I.

LEGAL

STANDARD

Demurrer

“The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights.” (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

“A demurrer tests

the legal sufficiency of the factual allegations in a complaint.” (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether “the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (Id.) The Court does not “read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint ‘as a whole and its parts in their context.’ [Citation.]” (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court “assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (Harris, supra, 56 Cal.4th p. 240.) “The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]” (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A

general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A

demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) “A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.) “[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave

to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e).” (Code Civ. Proc., § 435, subd. (b)(1).) 22

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.” (Code Civ. Proc., § 436, subd. (a); see also *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”.].) 22

The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.) 22

II.

DISCUSSION

Meet and Confer

Prior to filing a demurrer and motion to strike, the demurring/moving party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer and motion to strike. (Code Civ. Proc., § 430.41; Code Civ. Proc., § 435.5.) 22

Lenders'

counsel of record, Steven M. Dailey, attests to the following meet and confer

efforts: “On July 8, 2026, at approximately 2:41 p.m., I spoke to Plaintiff via telephone to meet and confer regarding our Demurrer and Motion to Strike. We discussed each of the legal bases for our Demurrer. We also discussed the allegations which are the subject of our Motion to Strike and the legal bases therefore. We were unable to reach an agreement resolving the objections raised in the Demurrer or the Motion to Strike.” (Dailey Decl., ¶2.) Thus, the Court finds that Lenders have fulfilled their meet and confer obligation.

Request
for Judicial Notice

Lenders

request judicial notice of the Deed of Trust (“DOT”) recorded on February 10, 2022 in Official Records, Los Angeles County as Document No. 20220164950 – Ex.

1. Plaintiff objects to the request on the grounds that Lenders fail to identify which provision of the DOT has any legal effect on any issue actually raised by their demurrer and/or motion to strike.

“[T]he

fact a court may take judicial notice of a recorded deed, or similar document, does not mean it may take judicial notice of factual matters stated therein.

[Citation.]” (Herrera v. Deutsche Bank Nat. Trust Co. (2011) 196

Cal.App.4th 1366, 1375 [addressing recorded assignment of deed and substitution of trustee, and reversing summary judgment where bank defendant failed to show it was a beneficiary under deed of trust.].) A trial court errs in taking judicial notice of facts contained in recorded documents, where they are in dispute. (Id.)

Similarly,

“[w]here, as here, judicial notice is requested of a legally operative document—like a contract—the court may take notice not only of the fact of the document and its recording or publication, but also facts that clearly derive from its legal effect. Moreover, whether the fact derives from the legal effect of a document or from a statement within the document, the fact may be judicially noticed where, as here, the fact is not reasonably subject to dispute.” (Scott v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 754 [internal citations omitted].)

Plaintiff

admits that she does not dispute the recordation of the DOT nor contest its

authenticity. (Opp. to RJN at 2:14-15.)

Accordingly,

Lenders request for judicial notice is GRANTED as to the existence, recordation, and legal effect of the DOT.

Demurrer

Lenders demur

to all six causes of action on the grounds that the FAC fails to state sufficient facts to constitute causes of action against them.

Contract

Claims (1st and 2nd COAs)

Lenders argue that the contract claims fail because the FAC does not allege breach by SPS and performance by Plaintiff. (Dem. at 3:17-4:7.)

Establishing a breach of contract claim, “requires a showing of (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (D’Arrigo Bros. of California v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).) “Further, the complaint must indicate on its face whether the contract is written, oral, or implied by conduct.” (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458–459.) Generally, if the claim is based upon a written contract, the complaint must set out the contract’s terms verbatim or the plaintiff must attach a copy of the written contract to the complaint and incorporate it by reference. (Id.) Otherwise, “a plaintiff may plead the legal effect of the contract rather than its precise language.” (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198–199.)

“A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that [b]ad faith implies unfair dealing rather than mistaken judgment....” (Careau & Co. v. Security Pacific Business Credit, Inc. (1990) 222 Cal.App.3d 1371, 1394 (internal citations omitted).) “If the allegations do not go beyond the statement of a mere contract breach and,

relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (Id.)

The FAC alleges, inter alia, that on or about May 12, 2025, Plaintiff and SPS entered into a written Disaster Deferral Agreement (the "Agreement") concerning mortgage loan account 0031411929 (the "Loan") secured by Plaintiff's residence in Hidden Hills, CA. (FAC, ¶¶2, 13, Ex. A.) The Agreement expressly provided that Plaintiff's mortgage account would remain current during the deferral period, that four months of payments would be deferred to the end of the Loan term, and that such deferred amounts would not be reported or treated as past due. (Id., ¶¶3, 13, 22.) Plaintiff was contractually current under the Agreement and had no payment obligation during the deferral period. (Id., ¶24; FAC, Prayer for Relief, ¶5.) SPS breached the Agreement by knowingly reporting Plaintiff's mortgage account to consumer reporting agencies including Experian as delinquent for approximately 120 consecutive days during the deferral period. (Id., ¶¶4, 8, 14, 23.) Barclays held legal title to the Loan, thus had duties to ensure proper administration and reporting of mortgage accounts including oversight of SPS' servicing practices. (Id., ¶5.) Barclays failed to prevent, remedy, or correct the false reporting of Plaintiff's account, contributing directly to Plaintiff's harm. (Id., ¶5.) As a proximate result of SPS' breach, Plaintiff suffered financial harm, reputational damage, impaired credit, denial of loans and financing opportunities, and other economic and non-economic losses in amount according to proof. (Id., ¶15.) Plaintiff took steps to mitigate potential financial harm by making payment of amounts demanded by SPS solely to avoid further adverse credit and foreclosure-related consequences, while expressly disputing the accuracy of SPS' reporting. (Id., ¶10.)

Reading

the FAC as a whole and taking the allegations as true, the FAC sufficiently alleges a breach of contract claim against Lenders. Specifically, the FAC alleges that SPS and Plaintiff entered into deferral agreement for mortgage payments, wherein SPS agreed not to report any payments for the next four months as past due; SPS breached the Agreement by reporting Plaintiff's mortgage loan account as delinquent during the deferral period; Barclays authorized, ratified, and/or failed to correct SPS' breach; Plaintiff was

contractually current under the Agreement and had no payment obligation during the deferral period; and Plaintiff suffered damages as a result of the breach.

To the

extent that Plaintiff allege SPS breached its duty of the implied covenant of good faith and fair dealing under the Agreement, it is based upon the same conduct alleged for breach of contract. (See FAC, ¶¶17-18.) Essentially, the FAC does not allege conduct beyond mere breach of the Agreement between Plaintiff and SPS. Therefore, the second cause of action is duplicative of the first cause of action.

Accordingly

the demurrer to the first cause of action is OVERRULED and to the second cause of action is SUSTAINED with leave to amend.

Preemption

by FCRA (3rd, 4th, and 6th COAs)

Lenders

also assert that the third, fourth, and sixth causes of action are related to improper credit reporting, thus preempted by FCRA because they are common law tort claims. (Dem. at 4:14-5:14, 6:21-7:2, 8:26-9:5.)

“The

federal Fair Credit Reporting Act (15 U.S.C. § 1681 et seq.) (FCRA) concerns only issues related to credit reporting.” (Lafferty v. Wells Fargo Bank (2013) 213 Cal.App.4th 545, 567.) “The FCRA, in ‘15 United States Code section 1681t(b)(1)(F) totally preempts all state common law tort claims against furnishers of credit information arising from conduct regulated by 15 United States Code section 1681s–2....’ ” (Id. at 568.) This includes “common law tort claims against [defendants who made reports to credit rating agencies].” (Id.) (See also Roybal v. Equifax (E.D. Cal. 2005) 405 F.Supp.2d 1177, 1181 [“On its face, the FCRA precludes all state statutory or common law causes of action that would impose any ‘requirement or prohibition’ on the furnishers of credit information.”].)

Notably,

Plaintiff concedes that common law claims are preempted by FCRA. (Opp. Dem. at 8:1-5.) Instead, Plaintiff argues that preemption should not be resolved on demurrer. Plaintiff contention is not supported by California law where such

claims have been dismissed without leave to amend during the pleading stage on preemption grounds. (See e.g., *Lafferty v. Wells Fargo Bank* (2013) 213 Cal.App.4th 545; *Roybal v. Equifax* (E.D. Cal. 2005) 405 F.Supp.2d 1177;) To the extent that Plaintiff argues that preemption does not extend to Civil Code Section 1785.25, subdivision (a), the Court agrees. (See *Buraye v. Equifax* (C.D. Cal. 2008) 625 F.Supp.2d 894, 901 [“California Civil Code § 1785.25(a) is one of the state statutes saved from preemption.”].) Nevertheless, the demurrer does not seek to dismiss Plaintiff’s fifth cause of action under CCRA on preemption grounds. Moreover, Civil Code Section 1785.25, subdivision (a) exemption from preemption does not extend to the common law state claims. In fact, Plaintiff cites to no legal authority supporting such contention.

As to

the third cause of action, the FAC alleges, inter alia, that on or about May 12, 2025, Plaintiff and SPS entered into the Agreement. (FAC, ¶¶12, 21, Ex. A.) The Agreement expressly provided that Plaintiff’s mortgage account would remain current during the deferral period, that four months of payments would be deferred to the end of the Loan term, and that such deferred amounts would not be reported or treated as past due. (Id., ¶¶13, 22.) SPS reported Plaintiff’s mortgage account to consumer reporting agencies including Experian as delinquent for approximately 120 consecutive days during the deferral period. (Id., ¶123.) The reported delinquency was false because Plaintiff was contractually current under the Agreement and no payment obligation was due during the reported period. (Id., ¶124.) Barclays had responsibility for oversight of the loan servicing and failed to correct or prevent the continued inaccurate reporting after notice of Plaintiff’s dispute. (Id., ¶¶126-28.) Experian published and disseminated the inaccurate credit information with the intent that lenders, creditors, and other users of consumer credit reports would rely upon it in making credit decisions concerning Plaintiff. (Id., ¶129.)

Likewise,

as to the fourth cause of action, the FAC alleges that all Defendants published and caused to be published false, negative, and derogatory credit information concerning Plaintiff to third parties, including lenders and other users of consumer credit reports. (FAC, ¶136.) The statements published by Defendants including that Plaintiff’s account was delinquent, were false. (Id., ¶137.) Defendants knew the statements were false or acted with reckless disregard for the truth and with malice, in that they willfully failed to correct known inaccuracies despite repeated notice from Plaintiff and clear

contractual obligations establishing the account was not past due. (Id., ¶38.) Experian continued to disseminate the false information after receiving Plaintiff's disputes and failed to conduct a reasonable reinvestigation, while SPS continued to furnish inaccurate information despite knowledge of its falsity. (Id., ¶39.)

Finally,

as to the sixth cause of action, the FAC alleges Defendants as mortgage servicer, consumer reporting furnisher, consumer reporting agency and loan trustee/administrator owed Plaintiff a duty to exercise reasonable care in the servicing, reporting, furnishing, investigation, and administration of Plaintiff's mortgage loan account and associated consumer credit information, including a duty to avoid the dissemination of inaccurate derogatory credit information once placed on notice of its dispute. (FAC, ¶¶50-51.) Defendants breached that duty by inaccurately reporting Plaintiff's mortgage loan account as delinquent during the Agreement's deferral period; failing to conduct a reasonable and timely investigation after receiving notice of Plaintiff's dispute; failing to correct known or reasonably verifiable inaccuracies; and continuing to furnish, publish, or permit the dissemination of derogatory credit information that did not reflect Plaintiff's contractual payment status. (Id., ¶52.)

Taking

these allegations as true, the gravamen of the third, fourth, and sixth causes of action are the purported improper credit reporting, furnishing, and dissemination of Plaintiff's mortgage loan account. All of these causes of action are common law claims as opposed to statutory claims. Thus, it appears on the face of the FAC that the third, fourth, and sixth causes of action are preempted by FCRA.

Accordingly,

the demurrer as to the third, fourth, and sixth causes of action is SUSTAINED without leave to amend.

Fifth

Cause of Action for Violation of CCRAA

Finally,

Lenders contend that the fifth cause of action fails because the FAC does not sufficiently allege any unlawful conduct by SPS nor injury of Plaintiff. (Dem.

at 7:23-8:21.)

Pursuant

to Civil Code Section 1785.25, subdivision (a), “[a] person shall not furnish information on a specific transaction or experience to any consumer credit reporting agency if the person knows or should know the information is incomplete or inaccurate.” (Civ. Code, § 1785.25, subd. (a).)

“The

phrase ‘incomplete or inaccurate’ in § 1785.25(a) requires furnishers of credit information from ‘not only refrain[ing] from making any reports that are obviously wrong or missing crucial data, but also that the reports not contain information that is materially misleading.’ ” (Huizar v. Wells Fargo Bank, N.A. (E.D. Cal. 2017) 257 F.Supp.3d 1103, 1108.) “Moreover, [Consumer Reporting Agencies] must adopt procedures that assure the “maximum possible accuracy” of credit reports.” (Id.) “This standard is met when a complaint plausibly alleges that a furnisher failed to report a debt as discharged.” (Id.) “In addition, this standard is met where a furnisher reported inconsistent information, some of which was negative to the debtor.” (Id.)

“Any

consumer who suffers damages as a result of a violation of this title by any person may bring an action in a court of appropriate jurisdiction against that person to recover the following: [¶](1) In the case of a negligent violation, actual damages, including court costs, loss of wages, attorney’s fees and, when applicable, pain and suffering. [¶](2) In the case of a willful violation: (A) Actual damages as set forth in paragraph (1) above; (B) Punitive damages of not less than one hundred dollars (\$100) nor more than five thousand dollars (\$5,000) for each violation as the court deems proper; [and] (C) Any other relief that the court deems proper.” (Civ. Code, § 1785.31, subd. (a); see also Ramirez v. Trans Union, LLC (N.D. Cal. 2014) 301 F.R.D. 408, 424 [“The California Court of Appeals has held that the CCRAA, unlike the FCRA, requires a showing of actual harm even where, as here, the plaintiff is only seeking injunctive relief under section 1785.31(b) and statutory punitive damages under section 1785.31(a)(2)(b).”].)

The FAC

alleges, inter alia, that SPS as a furnisher of information violated Civil Code Section 1785.25, subdivision (a) by knowingly furnishing inaccurate information regarding Plaintiff’s account, including reporting the account as

delinquent despite Plaintiff being current under the Agreement. (FAC, ¶¶41, 43.)

SPS further violated its obligations by failing to correct the inaccurate information after receiving notice of Plaintiff's disputes, thereby continuing to furnish false and misleading credit information. (Id., ¶44.)

Experian, as a consumer reporting agency ("CRA"), violated Civil Code Section 1785.31 by failing to conduct a reasonable reinvestigation of Plaintiff's disputes and by continuing to report inaccurate and derogatory information concerning Plaintiff's account. (Id., ¶¶41, 45.) Barclays ratified, authorized, and failed to correct the inaccurate reporting of Plaintiff's account, and thereby contributed to the violations of the CCRAA. (Id., ¶¶41, 46.) Defendants' conduct was willful and/or negligent, and in conscious disregard of Plaintiff's rights under California law. (Id., ¶47.) As a result of Defendants' counts, Plaintiff suffered actual damages, including but not limited to denial of credit, loss of financial opportunities, damage to credit reputation, emotional distress, and other economic and non-economic damages in an amount according to proof. (Id., ¶48.)

Taking

these allegations as true, the FAC sufficiently alleges a claim for Violation of CCRAA against Lenders. As shown above, the FAC alleges that SPS inaccurately reported that Plaintiff's mortgage loan account was delinquent to CRAs and Barclays ratified, authorized, or failed to correct SPS' conduct. The FAC also alleges that Plaintiff suffered emotional distress damages, which constitute actual damages under Civil Code Section 1785.31, subdivision (a)(1). The FAC further alleges loss of financial opportunities, i.e., loss wages, other economic and non-economic damages, which constitute actual damages under Civil Code Section 1785.31, subdivision (a)(2)(C).

Accordingly,

the demurrer to the fifth cause of action is OVERRULED.

Motion

to Strike

Lenders moves

for an order striking references to punitive damages; emotional distress; and attorney's fees in the FAC on the grounds that: (1) Plaintiff fails to plead specific facts to support a request for punitive damages; (2) Plaintiff fails to plead facts regarding any physical impact or physical injury to support a request for emotional distress damages; and (3) there is no contractual, statutory, or

other basis for attorney's fees and Plaintiff's is a self-represented litigant.

As to punitive damages, "[i]n order to survive a motion to strike an allegation of punitive damages, the ultimate facts showing an entitlement to such relief must be pled by a plaintiff." (Clauson v. Superior Court (1998) 67 Cal.App.4th 1253, 1255.) The California Civil Code Section 3294, subdivision (a) authorizes punitive damages upon a showing of malice, fraud, or oppression. Malice is defined as either "conduct which is intended by the defendant to cause injury to the plaintiff", or "despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code, § 3294, subd. (c)(1).) "Despicable conduct is conduct which is so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people." (Mock v. Michigan Millers Mutual Ins. Co. (1992) 4 Cal. App. 4th 306, 331.) Fraud under California Civil Code Section 3294, subdivision (c)(3) "means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code, § 3294, subd. (c)(3).) The California Civil Code Section 3294, subdivision (2) defines oppression as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code, § 3294, subd. (2).) Punitive damages thus require more than the mere commission of a tort. (Taylor v. Superior Court (1979) 24 Cal.3d 890, 894-95.)

Here, Plaintiff's request for punitive damages related to the third cause of action for Fraud/Intentional Misrepresentation fail because this claim is preempted under FCRA. (See FAC, ¶¶10, 33; FAC, Prayer for Relief, ¶3.) Furthermore, the FAC fails allege any specific facts amounting to malice and/or oppression. Although the FAC alleges that the inaccurate reports SPS made on her mortgage loan account put Plaintiff at immediate risk for wrongful foreclosure, there are no allegations that such proceedings were actually commenced against her to support a finding of oppression and/or malice. (See FAC, ¶9(d).)

Moreover, "[a]n employer shall not be liable for damages pursuant to subdivision (a), based upon acts of an employee of the employer, unless the employer had advance knowledge of the unfitness of the employee and employed him or her with a conscious disregard of the rights or safety of others or authorized or ratified

the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice. With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.”

(Civ. Code § 3294, subd. (b) (emphasis added).) “When reviewing award of punitive damages in favor of employee based on acts committed by managing agent of corporate employer, [courts] must determine whether substantial evidence supports finding, by clear and convincing evidence, that actions were malicious or oppressive.” (Colucci v. T-Mobile USA, Inc. 48 Cal.App.5th 442, 443 [citing Civ. Code, § 3294, subds. (a), (b), (c)].)

The FAC is devoid of any allegations of acts committed by a managing agent, officer, or director of SPS and/or Barclays.

As for the

allegations for emotional distress damages, the FAC sufficiently alleges a claim for Violation of the CCRAA, which expressly allows recovery for emotional distress damages. (See Civ. Code, § 1785.31, subd. (a)(1).) There is no indication by the statutory language itself nor case law interpreting these statutes, which requires a party seeking relief under the statute to plead physical injury or physical impact to recover emotional distress damages as required for common law claims. Notably, Lenders reply brief does not even address the statutory basis for the emotional distress damages Plaintiff seeks in the FAC.

Lastly, attorneys’ fees

are not available unless authorized by statute or an agreement between the parties. (Code Civ. Proc., § 1021.) Here, attorney’s fees are expressly recoverable under the CCRAA. (See Civ. Code, § 1785.31, subd. (d) [“Except as provided in subdivision (e), the prevailing plaintiffs in any action commenced under this section shall be entitled to recover court costs and reasonable attorney’s fees.”].) To the extent that Plaintiff is currently a self-represented litigant, the Court notes that self-represented litigants cannot recover attorney’s fees. (See Trope v. Katz (1995) 11 Cal.4th 274, 280 [“[T]he usual and ordinary meaning of the words ‘attorney’s fees’, both in legal and in general usage, is the consideration that a litigant actually pays or becomes liable to pay in exchange for legal representation. An attorney litigating in propria persona pays no such compensation.”]; Argaman v. Ratan (1999) 73 Cal.App.4th 1173, 1180 [“[A]n attorney litigating in propria persona may not be awarded monetary discovery sanctions based on

compensation for time and effort expended as a result of a misuse of the discovery process.”]; Musaelian v. Adams (2009) 45 Cal.4th 512, 520 [“We hold therefore that an attorney who responds in pro se to a filing abuse may not recover sanctions under section 128.7 in the form of an award of attorney fees.”].) Nevertheless, Plaintiff appears to argue that she may retain legal counsel at a later stage in this present action, so striking the request for attorney’s fees where there is a statutory basis for recover should not occur. Therefore, in the interest of justice the Court will not strike the request for attorney’s fees at this time.

Accordingly, the motion to strike is GRANTED with leave to amend as to the punitive damages and DENIED as to the request for emotional distress damages and attorney’s fees.

III.
CONCLUSION

Based on the foregoing, Defendants Select Portfolio Servicing, Inc. and Barclays Mortgage Loan Trust 2023-NQMI, by and through its Trustee, U.S. Bank National Association’s Demurrer to the First Amended Complaint is SUSTAINED without leave to amend as to the third, fourth, and sixth causes of action and SUSTAINED with 30 days leave to amend as to the second cause of action. The Demurrer is OVERRULED as to the first and fifth causes of action only.

Defendants Select Portfolio Servicing, Inc. and Barclays Mortgage Loan Trust 2023-NQMI, by and through its Trustee, U.S. Bank National Association’s Motion to Strike the First Amended Complaint is GRANTED with 30 days leave to amend as to the punitive damages claim and DENIED as to the request for emotional distress damages and attorney’s fees.

Defendants
Select Portfolio Servicing, Inc. and Barclays Mortgage Loan Trust
2023-NQMI, by and through its Trustee, U.S. Bank National Association to give
notice.

Dated: September
15, 2026

Hon. Karen Moskowitz

Judge
of the Superior Court